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THE JAPAN BUSINESS ASSOCIATION IN VIETNAM
No.: DN11/2016HHDNNB
Re: Concerns about Circular No. 23/2015/TT-BKHCN

THE SOCIALIST REPUBLIC OF VIETNAM
Independence – Freedom – Happiness

Hanoi, May 9th 2016

Respectfully to: The Ministry of Science and Technology

and: The Ministry of Planning and Investment

We would like to convey our best regards to the Ministry of Science and Technology ("MoST") for taking into account all suggestions and comments of the Japan Business Association in Vietnam ("JBAV") in revising the draft and finalizing Circular No. 23/2015/TT-BKHCN on the importation of used machinery, equipment and production lines.

After studying the provisions of Circular 23/2015/TT-BKHCN as well as the official letter in response to the petition in the Vietnamese enterprises forum at the end of 2015 from the Ministry of Science and Technology regarding the provisions specified in this Circular. We, by this Official Letter, would like to raise our concerns about the provisions specified in Circular 23/2015/TT-BKHCN as well as our proposal for amendment and supplementation; and kindly request for your guidance and responses so that the enterprises would be able to obtain proper understanding and implementation before the Circular oficially becomes in effect on July 01, 2016.

A. Our understanding on the provisions of Circular No. 23/2015/TT-BKHCN:

Regulations regarding the list of used machinery and equipment of new investment project:

Pursuant to Circular No. 16/2015/TT-BKHDT providing guidance on implemetation forms for procedures and reporting on investment activities in Vietnam, we understand that there have not been any specific forms for the enterprises to register for the list of used machinery, equipment and production lines required for importation for the implementation of investment projects. In JBAV's perspective, the lack of guidance for a specific form in this case would create difficulties for the enterprises to comply with Clause 2, Article 6 of Circular No. 23/2015/TT-BTC. Thus, by this Official Letter, we enclose herewith a draft form for the registration of used machinery, equipment and production lines to be imported for the implementation of investment projects for your esteemed Ministry's review and research in order to promulgate the most appropriate form for the enterprises.

Regulations regarding the registration for the list of used machinery and equipment for investment projects not regulated in Clause 2 Article 6 Circular 23/2015/TT-BKHCN:

We understand that for investment projects not regulated in Point 2 Article 6 Circular 23/2015/TT-BKHCN, if the enterprises wish to adjust any content in the curent investment registration certificate (IRC), the enterprises could submit the additional list of used machinery and equipment expected to be imported in the adjusted application documents. Accordingly, when the adjusted IRC is approved by the licensing authority, the enterprise shall not have to apply the criteria stated in Clause 1 Article 6 Circular 23/2015/TT-BKHCN when importing machinery and equipment. In this case, when import, the enterprises only need to provide the revised IRC along with the enclosed list of used machinery and equipment expected to be imported that was submitted in the adjusted IRC documents. Please kindly refer to attached "Procedure".

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B. Our proposal:

With our desire to support the domestic and foreign enterprises to properly and fully comply the provisions on the importation of used machinery and equipment as well as to reduce administrative procedures, it is our opinion that the guidances from Governemnt should be clear, specific and flexible to help the enterprises focus on their revenue generating business activities. We JBAV, on behalf of Japanese enterprises,would like to respectfully request for the Ministry of Science and Technology's and the Ministry of Planning and Investment's review and confirmation on our understanding in relations to Circular No. 23/2015/TT-BKHCN before its effective date on 01/07/2016. We are looking forward to working with you in regards to the issues mentioned above at your earliest convenience.

Yours Sincerely!

The Japan Business Association in Vietnam
Chairman

HIỆP HỘI CÁC DOANH NGHIỆP NHẬT BẢN TẠI VIỆT NAM
BAN LÃNH ĐẠO

Taiji Yanai

Recipients:
- *As above;*
- *Foreign Investment Agency – Ministry of Planning and Investment;*
- *Vietnam Chamber of Commerce and Industry;*
- *Vietnam Business Forum (VBF);*
- *Embassy of Japan in Vietnam*
- *The Japanese Business Association of Ho Chi Minh City*
- *The Japan Business Association in Da Nang City.*

Attachment
1. Draft of application for IRC.
2. Procedure.



THE SOCIALIST REPUBLIC OF VIETNAM
Independence - Freedom - Happiness

PROPOSAL OF INVESTMENT PROJECT

(Attached to Written request for investment project implementation Dated .....)

I. INVESTOR:

(a) Name:

(b) Head office:

(c) Business registration:
Issued on:
(d) Tel/ Fax/Email/Website:

(d) Legal representative:
DOB:
Nationality:
Passport No:
Issuance date:
Title:
Position:
Permanent Residential Address:
Current Residential Address:
Tel/Fax/Email

II. REQUEST TO IMPLEMENT THE INVESTMENT PROJECT WITH THE FOLLOWING CONTENTS

1. Project name and location of the project

1.1. Project name:

1.2. Location of the project:

2. Investment objectives:

3. Investment scope:

4. Proposed land using demand (applicable in the case the Project use the land leased by the State)

5. Investment capital of the project

6, Project implementation term:

7, Project implementation schedule:

8, Technology and Equipment

8.1. Proposed Process chart:

8.2 Proposed Equipment of the project:

The Proposed machinery and equipment to be used by the Project shall include the following:

#	Machinery & Equipment	Quantity	Country of Origin	Purpose	Status/Year
1	Machine A	2	Japan	Press	2016
	Machine B	1	Japan	Press	2016
	Machine C	6	Japan	Injection	2007
	Machine D	2	China	Machining center	2011
	Machine E	1	Japan	Grinder	2012
	Machine F	1	Japan	Grinder	2012
	Accessories	-	Japan	-	2016

9. Demands for labor:

10. Evaluation on socio-economic impacts and effects of the project

11. Explanation of use of technology *(applicable in the case the Project use the technology on the List of technologies restricted from transfer prescribed by regulations of law on technology transfers)*

12. Explanation on satisfying the required investment condition which is apply to the foreign investor (if any)

13. Other industrial waste during manufaturing and counter measure:

14. Labour safety.

15. Fire fighting system and safety

16. Assess economic efficiency of the project

III. PROPOSAL OF INCENTIVES AND SUPPORT FOR INVESTMENT

Prepared in ....., dated .....

Investor

PRESIDENT

SOCIALIST REPUBLIC OF VIETNAM
Independence – Freedom - Happiness

APPLICATION FOR REVISION OF INVESTMENT PROJECT

To: xx Industrial Zones Management Authority

The investor would like to propose for amendment of investment project as stated in the Decision on investment policy (no. xxxx dated xxxx issued by) an amendment of Investment Registration Certificate of the Project xxxx with contents as followings:

I. INVESTOR

a) Name:

(b) Head office:

(c) Business registration:
Issued on:
(d) Tel/Fax/Email/Website

(e) Legal representative:
DOB:
Nationality:
Passport No:
Issuance date:
Position:
Permanent Residential Address:
Current Residential Address:
Tel/Fax/Email

II. INFORMATION OF ORGANIZATION WHICH IMPLEMENTS THE PROJECT

1. Name of organization

2. Enterprise code

III. CONTENTS OF AMENDMENT OF DECICION ON INVESTMENT POLICY:

1. The first amendment:

- Contents as stated in the Decision on Investment Policy: xxxx

- Register for amendment to: xxx

- Explanation on reason, basis for the amendment: xxxxx

2. The next amendment: xxxx

IV. CONTENTS OF AMENDMENT OF INVESTMENT REGISTRATION CERTIFICATE

We would like to adjust the investment project: "....." with the contents as followings:

1. Issued Investment Certificate/Investment Registration Certificate/Investment License/Business License:

No.	Name	Number of document/ Project Code	Issuance date	Issued by	Remark *(Valid or invalid)*
1					

2. Adjustment content:

2.1. Content 1:

- Content before adjustment:

Equipment to be used by the Project.

#	Machinery & Equipment	Quantity	Country of Origin	Purpose	Status/Year
1	Machine A	2	Japan	Press	2016
	Machine B	1	Japan	Press	2016
	Machine C	6	Japan	Injection	2007
	Machine D	2	China	Machining center	2011
	Machine E	1	Japan	Grinder	2012
	Machine F	1	Japan	Grinder	2012
	Accessories	-	Japan	-	2016

- Content after adjustment:

Equipment to be used by the Project.

#	Machinery &	Quantity	Country of	Purpose	Status/ Year

	Equipment		Origin		
1	Machine A	2	Japan	Press	2016
	Machine B	1	Japan	Press	2016
	Machine C	6	Japan	Injection	2007
	Machine D	2	China	Machining center	2011
	Machine E	1	Japan	Grinder	2012
	Machine F	1	Japan	Grinder	2012
	Accessories		Japan	-	2016
2	Machine G	2	Japan	Press	2016
	Machine H	1	Korea	Milling	2002
	Machine I	2	Japan	Milling	2003
	Machine J	1	Japan	Wire cut	1995
	Machine K	1	Japan	Grinder	2016
	Machine L	1	Japan	Injection	2016
	Accessories	-	Japan	-	2016

- Explanation:

3. Other documents related to the adjustment content: ***(if any)***

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V. INVESTOR'S COMMITMENT

a) About the accuracy of contents of application dossiers;

b) To strictly comply with the regualtions of Vietnamese laws and other regulations in Investment Registration Certificate.

VI. ATTACHMENTS

1. Documents regulated in Law on Investment;

2. Copy of issued Decision on Investmement Policy , Investment Certificate/ Investment Registration Certificate/Investment License/Business License.

....., *date* .....

Investor

(sign & seal)

PROCEDURE FOR IMPORT USED MACHINERY

AA). New project (new incorporation)

1. The company will submit the application format of IRC with machinery list (name of machinery, Quantity, Country of origin, purpose and year).
2. If IRC is issued based on this application format, the used machinery which is mentioned in the application format of IRC is NOT subject to this regulation.
3. When the company will import used machinery, the company has to submit 01 certified true copy of the IRC attached with a list of used machinery which is mentioned in application format of IRC. (Article 7.1)

BB). Expand project/Not expand but import used machinery project (issue revised IRC)

1. The company will submit the application format of IRC revision with machinery list.
2. If Revised IRC is issued based on this application format, the used machinery which is mentioned in the application format of IRC is NOT subject to this regulation.
3. When the company will import used machinery, the company has to submit 01 certified true copy of the IRC attached with a list of used machinery which is mentioned in application format of IRC. (Article 7.1)

CC). Expand project/Not expand but import used machinery project (NOT issue revised IRC)

1. The company doesn't submit the application format of IRC revision with machinery list.
2. The company shows Certificate of the manufacturer of the used machinery, the company can import used machinery without submitting the application format of IRC revision. (Article 7.2)

